

pramati • *noun*, exceptional mind.

Jay Pullur

Founder & CEO, Pramati Technologies

The Goal

If you have great engineers and you have capital and entrepreneurial skills, you've got to eventually get some successes. I expect in the next couple of years there could be an Indian software company that has a household name in the U.S.

– James Governor, Illuminata Analyst, Mar 2002

Pramati plans to be the first product company success to come out of India

J2EE – an essential for new apps

J2EE

- Open Architecture
- Fully Standards controlled
- Leading vendor support including IBM, Oracle, Sun, BEA, HP
- Makes applications platform neutral

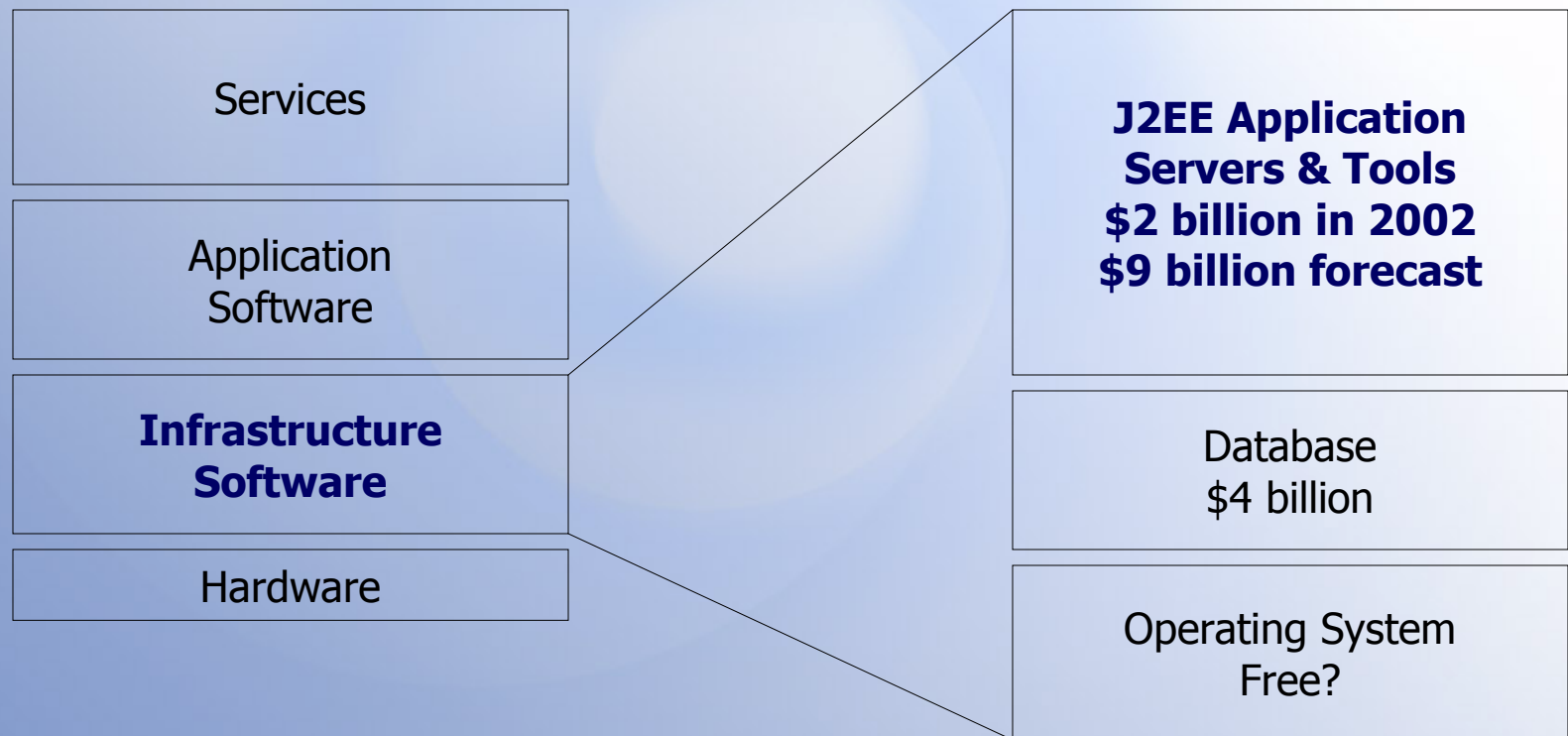
.NET

- Proprietary
- Microsoft controlled and implemented

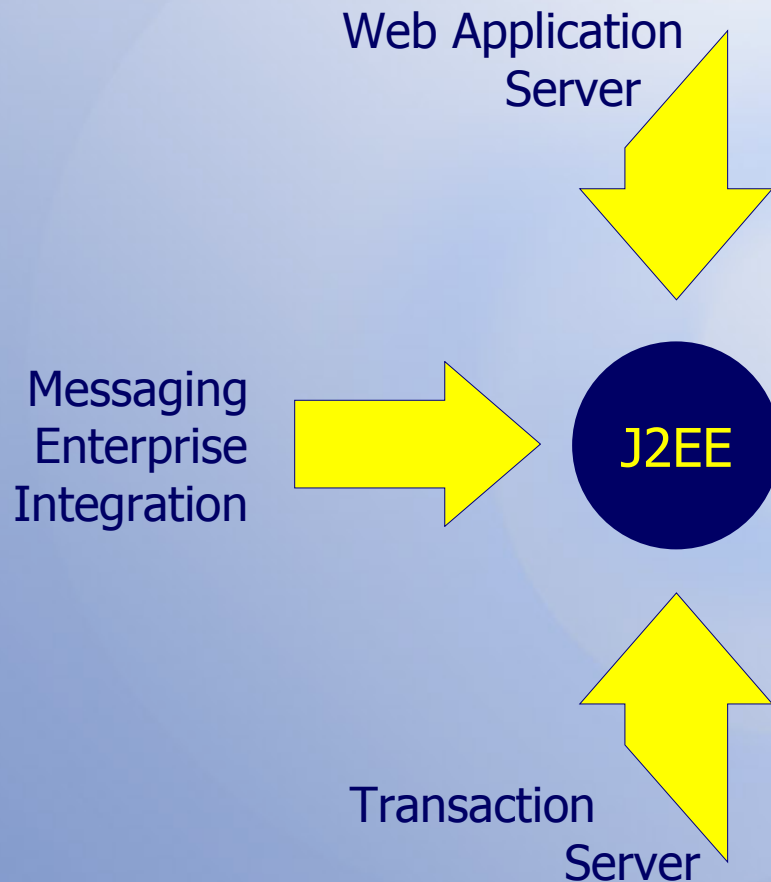
Pramati makes J2EE application server and tools

J2EE and the Solutions Stack

- Application Servers, the fastest growing software market in history



J2EE Technology Convergence



Implications

- Important for every major software player
- Most new development will use this technology
- Increasing scope requires major investment in R&D

We Chose Our Market Carefully

- Domestic market is a vital part of a product company's success. Software development is a domain where we can find world class customers in India.
- Massive R&D complexity. The quality and size of the engineering team is an important success factor.
- Standards. J2EE becomes the brand. Standards compliance and performance win over branding or proprietary features.

4 Big Myths we had to bust

Myth #1. Indian software companies can't build and market world class products, only services.

Myth #2. There's no room for another player in the app server space.

Myth #3. Commoditization is the enemy.

Myth #4. You can't make money by offering low cost app servers.

Our contrarian thinking is working

Myth #1

Indian software companies can't build and market world class products

- Demolishing this myth is a massive motivator. We get the best and brightest from IITs and Indian “returnees” to perform at their best to prove that this is not true.
- We have raised two rounds of capital from world class VCs – Citibank, Intel Capital, k1 Ventures – who believe in our mission.
- Engineering quality has never been the issue – choosing the right market and the right strategy is the issue.

Myth #2

There's no room for another player in the app server space

- Since 1998 we have seen at least 20 vendors enter the market with a big splash and then exit quietly
- Meanwhile we have grown steadily, our market traction increases daily and we now operate in a much less crowded market
- Only 5 vendors are J2EE 1.3 certified and we were the first.
- Only 3 vendors have published ECperf™ performance tests (IBM, BEA and Pramati)

Myth #3

Commoditization is the enemy

- App servers are moving towards Commoditization (even though speed of move is subject to debate)
- US companies with a high cost base always seek to exit a market when it becomes commoditized.
- Commodity markets are usually very big
 - *think PCs & Microchips*
- Lowest cost producer does very well in commodity markets
 - *think Dell & Taiwan*

Myth #4

You can't make money by offering low cost app servers

- The market wants low cost app servers

“For small and medium enterprises, the steady stream of inquiries GiGa receives about open source application servers suggests that there is enough price sensitivity for Pramati to crack into that market segment.”

- Uttam Narsu, Analyst GiGa Information Group, Dec 2001

- Keeping costs low is key to profitability:
 - R&D in India
 - Selling through channels
 - Selling and supporting on-line

Pramati Market Focus

Focus on Wholesale opportunities where we can offer a unique value proposition

1 OEM relationships

- *Value of Integration*
- *Continued supply of J2EE technology*
- *Same level of control as in-house development*

2 ISV reseller Channel

- *Better end-user experience*
- *Faster time-to-market thru better support*
- *Designed for embedding*

3 Mass Enterprise

- *Volume pricing*
- *Heterogeneous platforms support*
- *Less resource hungry*

Pramati Now Out of Stealth Mode

- Pramati was the first company to get J2EE 1.3 Certification in December 2001
- Our downloads went up 10 fold (more than 10,000 downloads)
- Momentum with partners and customers (more than 50 partners)
- Analysts and US Media recognized us as a viable player
- Our ECPerf™ performance test announcements increased recognition that we are a serious market player

Pramati is a viable alternative to branded App servers

Questions?

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